

Cambridge International AS & A Level

★ PREDICTED PAPER — FOR REVISION USE ★

ECONOMICS

9708/03A

Paper 3 A Level Multiple Choice

Practice Series 2026

Difficulty: Advanced

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 12 pages. Any blank pages are indicated.

- 1** A consumer's indifference curve is convex to the origin. Which statement correctly describes the implied diminishing marginal rate of substitution (MRS)?
- A** The consumer is willing to give up less of good Y for each additional unit of good X as X becomes more abundant.
 - B** The marginal utility of both goods is constant.
 - C** The consumer is always willing to substitute X for Y at the same rate.
 - D** The slope of the indifference curve is always equal to the price ratio.
- 2** A firm is a monopolist in its product market and a monopsonist in its labour market. Compared with perfect competition in both markets, the firm will most likely:
- A** produce less output and employ more labour, paying a higher wage.
 - B** produce less output and employ less labour, paying a lower wage.
 - C** produce more output and employ fewer workers, paying a higher wage.
 - D** produce the same output but employ fewer workers.
- 3** An industry is characterised by large economies of scale such that the long-run average cost curve continues to fall over the range of industry demand. The most appropriate description of this industry is:
- A** a perfectly competitive industry.
 - B** a natural monopoly.
 - C** monopolistic competition.
 - D** an oligopoly with high barriers to entry.
- 4** A firm in monopolistic competition, in long-run equilibrium, will have all the following EXCEPT:
- A** price equal to average cost.
 - B** marginal revenue equal to marginal cost.
 - C** price equal to marginal cost.
 - D** excess capacity (producing below minimum efficient scale).
- 5** An industry's 4-firm concentration ratio is 85%. Which market structure is this most consistent with?
- A** Perfect competition.
 - B** Monopolistic competition.
 - C** Oligopoly.
 - D** Natural monopoly.
- 6** A monopolist practising third-degree price discrimination will charge a higher price in the market with:
- A** the more price-elastic demand.
 - B** the less price-elastic demand.
 - C** the higher total revenue without discrimination.
 - D** the lower marginal cost of supply.
- 7** A firm faces a kinked demand curve at the current price. The most important prediction of this model is:

- A** the firm will engage in aggressive price competition.
 - B** a small shift in marginal cost may leave the profit-maximising price unchanged.
 - C** the firm will always earn supernormal profit.
 - D** firms in the industry will always collude.
- 8** Two firms play a repeated Prisoner's Dilemma game. Which of the following makes sustained cooperation more likely?
- A** A lower discount rate (firms value future payoffs more heavily).
 - B** A higher discount rate.
 - C** A shorter time horizon.
 - D** Lower penalties for defection.
- 9** A profit-maximising monopolist facing a linear demand curve will always set a price where demand is:
- A** perfectly inelastic.
 - B** inelastic ($|PED| < 1$).
 - C** unit elastic.
 - D** elastic ($|PED| > 1$).
- 10** Consumer surplus in a perfectly competitive market is equal to:
- A** the area below the demand curve, above the equilibrium price, up to the equilibrium quantity.
 - B** the area above the supply curve, below the equilibrium price.
 - C** the total revenue of firms.
 - D** the total cost of production.
- 11** In a competitive labour market, the supply of labour to a particular industry is perfectly elastic. An increase in the demand for labour will:
- A** raise both employment and the wage rate.
 - B** raise employment but leave the wage rate unchanged.
 - C** raise the wage rate but leave employment unchanged.
 - D** have no effect on employment or the wage rate.
- 12** The efficient Pigouvian tax on a good with a negative production externality is equal to the marginal external cost at:
- A** the current market equilibrium output.
 - B** the socially optimal output.
 - C** the output where marginal private cost equals marginal private benefit.
 - D** zero output.
- 13** If private bargaining according to the Coase theorem cannot resolve an externality, the most likely reason is:
- A** one party has a dominant strategy.
 - B** transaction costs are prohibitively high.
 - C** property rights are clearly defined.
 - D** the externality is positive.

- 14** Which is most likely to be a cause of government failure?
- A** Clearly defined property rights.
 - B** Rational economic decisions by consumers.
 - C** Information failure on the part of policymakers.
 - D** The existence of merit goods.
- 15** A closed economy has the following aggregate demand components: $C = 0.7Y + 100$, $I = 200$, $G = 150$. Assume no taxes. The equilibrium level of income is:
- A** 1,000
 - B** 1,500
 - C** 1,625
 - D** 1,500 only if $G = 100$
- 16** Ricardian equivalence suggests that a tax-financed and a bond-financed increase in government spending have:
- A** the same effect on aggregate demand if consumers are forward-looking.
 - B** a larger effect on AD if bond-financed because it crowds out investment.
 - C** a larger effect on AD if tax-financed because households save less.
 - D** no effect on aggregate demand in any case.
- 17** If the short-run Phillips curve is vertical at the natural rate of unemployment:
- A** there is a permanent trade-off between inflation and unemployment.
 - B** inflation can be reduced at no cost to unemployment.
 - C** attempts to reduce unemployment below the natural rate will only cause rising inflation.
 - D** monetary policy can permanently reduce unemployment.
- 18** A central bank uses open market operations to increase the money supply. The immediate effect is most likely:
- A** the central bank sells government bonds, raising interest rates.
 - B** the central bank buys government bonds, injecting reserves into the banking system.
 - C** the central bank raises reserve requirements.
 - D** a direct fall in the price level.
- 19** An economy's real exchange rate is defined as the nominal exchange rate adjusted for:
- A** the current account balance.
 - B** relative price levels between the two countries.
 - C** interest rate differentials.
 - D** GDP per capita differentials.
- 20** A country's balance of payments is in long-run disequilibrium if:
- A** it runs a persistent current account surplus requiring large reserve accumulation at a fixed exchange rate.

- B** it has a small current account deficit financed by sustainable FDI.
 - C** it has a balanced trade account.
 - D** its financial account is near zero.
- 21** Interest rate parity predicts that, in equilibrium, a country with a higher nominal interest rate than another country will have a currency that is expected to:
- A** appreciate.
 - B** depreciate.
 - C** remain fixed.
 - D** have no relationship to interest rate differentials.
- 22** A Lorenz curve for Country X shows that the bottom 40% of households receive 10% of total income. A Gini coefficient calculated for Country X is likely to be:
- A** close to 0.
 - B** close to 1.
 - C** around 0.4–0.5.
 - D** exactly 0.5.
- 23** The Kuznets curve hypothesises that, as a country develops, income inequality:
- A** rises monotonically.
 - B** falls monotonically.
 - C** first rises, then falls.
 - D** is unrelated to the level of development.
- 24** Which best describes 'import substitution' as a development strategy?
- A** Encouraging foreign direct investment in export sectors.
 - B** Using tariffs and subsidies to develop domestic industries that replace imports.
 - C** Joining a free trade area.
 - D** Specialising in primary commodity exports.
- 25** A country has a savings rate of 20% of GDP and a capital-output ratio of 4. Using the Harrod–Domar growth model (ignoring depreciation), the implied rate of economic growth is:
- A** 4%
 - B** 5%
 - C** 16%
 - D** 80%
- 26** A key prediction of the Solow growth model is that, in the long run:
- A** all countries converge to the same level of income per capita.
 - B** differences in income per capita are explained only by savings rates.
 - C** long-run growth in per capita income is determined by exogenous technological progress.
 - D** higher savings rates permanently raise the growth rate of per capita income.

- 27** A country running a persistent current account deficit financed by short-term capital inflows is most vulnerable to:
- A** excessive FDI.
 - B** a sudden stop of capital inflows.
 - C** appreciation of its currency.
 - D** export-led growth.
- 28** Two countries form a customs union. A consequence is:
- A** tariffs are abolished between members, with each maintaining its own external tariff.
 - B** tariffs are abolished between members and a common external tariff is adopted.
 - C** factor mobility is established.
 - D** a single currency is adopted.
- 29** A developing country adopts a 'big push' strategy of simultaneous investment across multiple sectors. The core justification is:
- A** to exploit comparative advantage in a single export crop.
 - B** to internalise inter-industry demand complementarities.
 - C** to reduce its saving rate.
 - D** to raise tariffs on industrial imports.
- 30** If a central bank credibly adopts an inflation target and is perceived as independent, the short-run Phillips curve is likely to:
- A** become steeper, raising the cost of disinflation.
 - B** shift leftward, allowing lower inflation at the natural rate of unemployment.
 - C** become horizontal.
 - D** shift rightward permanently.